NexaTel Customer Churn: Management Report

Prepared for the Chief Customer Officer, NexaTel · November 2026
Data: 19,000 customers, April 2025 to March 2026. Source files: Phase 1 to 4 notebooks and the Power BI dashboard.

Executive summary

NexaTel loses about 0.65% of its customers each month. That is well inside the 2.1% target, but the trend is moving the wrong way: monthly churn rose from 0.44% in April 2025 to 1.25% in March 2026. Customers who churned in the last 12 months took about Rs.7.7 lakh of monthly recurring revenue with them, roughly Rs.93 lakh a year. Churn is concentrated among customers with unresolved complaints, Mass-segment customers and customers on Monthly plans. Customer support is the clearest weak point: only 40.4% of tickets are resolved on first contact against a 78% target. We recommend clearing the complaint backlog first, testing an annual-plan offer with a control group, and checking a small number of data inconsistencies with the business.

Key numbers

Measure	Value	Target	Where it comes from
Monthly churn rate (12-month average)	0.65%	under 2.1%	Phase 3 notebook, KPI 1
Monthly churn rate, March 2026	1.25%	under 2.1%	Phase 3 notebook, KPI 1
Revenue lost to churn (per month, last 12 months)	Rs.774,988	none	Phase 3 notebook, KPI 5
Monthly recurring revenue	Rs.15.03 million (includes 52 subscriptions that start after March 2026)	none	Phase 3 notebook, KPI 6
First contact resolution	40.4%	over 78%	Phase 3 notebook, KPI 7
Average resolution time	16.0 hours	under 24 hours	Phase 3 notebook, KPI 8
Contract renewal rate (postpaid and fibre)	84.0%	over 88%	Phase 3 notebook, KPI 9

Top 3 findings

1. Churn is low, but it is rising and the cost is rising faster. Monthly churn climbed from 0.44% (April 2025) to 1.25% (March 2026). Over the same period, the monthly recurring revenue lost to churn grew from Rs.31,972 to Rs.122,854, about 3.8 times higher. Monthly recurring revenue peaked at Rs.15.12 million in January 2026 and fell about 1% to Rs.14.97 million by March (month-by-month figures, counted from each subscription's start date). *Caution: March also has only 4 new customers in the data, so part of the March jump may be a data cut-off effect.*

2. Unresolved complaints go with much higher churn. Customers with no unresolved complaint churn at 15.1%. This rises to 23.4% with one, 33.3% with two and 48.3% with three or more. 44.3% of all complaints (7,348 of 16,584) are unresolved, and only 40.4% of support tickets are resolved on first contact. *This is a link, not proof that complaints cause churn.*

3. Churn is concentrated in identifiable groups.

- **Segment:** Mass customers churn at 26.7% against 11.9% for Enterprise.
- **Plan type:** Monthly-plan customers churn at 22.5% against 7.2% for Annual plans.
- **Early tenure:** churn is highest in the first year (78.8% under 3 months, 8.5% after 3 years). *Tenure for churned customers stops at their exit date, so part of this pattern comes from how tenure is measured.*

Risks

- **Revenue:** at the current pace, about Rs.93 lakh of annual recurring revenue is lost to churn, and the monthly figure is climbing.
- **Service quality:** a 40.4% first-contact resolution rate against a 78% target means many customers need repeated contact, and 7,348 complaints are still open.
- **Renewals:** postpaid and fibre contract renewals are at 84.0%, below the 88% target.
- **Network:** customers in the worst quarter for dropped calls churn at 22.8%, against about 15% in the best quarter. The network data covers only January to March 2026, so this is an association, not proof that poor network came first.
- **Data quality:** 251 customers marked Churned still hold an active subscription, 52 active subscriptions start after 31 March 2026, and 2,947 contracts are past their end date but still show Active or Pending. These need checking with the business because they affect revenue and renewal figures.

Opportunities

- **Fix complaints first.** 1,124 customers have two or more unresolved complaints. Their churn rate is 33% to 48%, against 15% for customers with none.
- **Move Monthly customers to annual plans.** 13,949 customers are on Monthly plans and churn at about three times the Annual rate.
- **Protect the high-value segments.** At an assumed 40% gross margin (this margin is our assumption, not a NexaTel figure), a Premium customer is worth about 5 times a Mass customer over their lifetime (Rs.74,809 against Rs.14,186).

- **Act on a watch-list.** 38 active customers show all four risk patterns (Monthly plan, two or more unresolved complaints, worst-quarter dropped calls and Mass segment). This is a simple rule from our analysis, not a prediction model.

Recommendations

1. **Run a complaint-clearance sprint.** Resolve the backlog of 7,348 complaints, starting with the 1,124 customers who have two or more. Track first-contact resolution monthly, aiming to move it from 40.4% toward the 78% target.
2. **Test an annual-plan offer with a control group.** Offer a discount to a sample of Monthly customers and keep a similar group with no offer. Compare churn after three months. Without a control group, the current retention campaign results (82.4% of contacted customers are still active) cannot show whether offers work.
3. **Add early-life check-ins.** Contact new customers in their first three months, and use the Mass segment and Monthly plans as the first groups.
4. **Investigate network quality in the worst states.** Dropped-call rates are highest in Mizoram (3.17%), Meghalaya (3.12%) and Jammu and Kashmir (3.03%).
5. **Resolve the data questions.** Ask the business about the 251, 52 and 2,947 records listed above, so that revenue and renewal figures can be confirmed.

What this analysis cannot tell us

- All findings show associations between customer groups and churn. None of them proves what causes a customer to leave.
- The gross margin used for lifetime value (40%) is an assumption. Lifetime value figures should be used to compare segments, not as a forecast.
- The retention campaign data has no group of similar customers who were not contacted, so the campaign's effect cannot be measured.

All figures in this report are produced by the Phase 1 to 4 notebooks and the Power BI dashboard (Phase4_Dashboard_Swetha.pbix).